

says, "We installed four innovative, low-cost ATMs designed specifically in Andhra Pradesh. This has protected our investment in rural areas, which have lower transaction volumes."

The Kisan Loan Card

Using the Kisan Loan Card, the tobacco farmers in Andhra Pradesh were able to avail of loans using an electronic card with easy access to withdrawal of cash through ATMs.

Of the 2,200 applicants for the Kisan Loan Card till date, 1,763 farmers who own 2,066 tobacco barns—30 per cent of all barns in the NLS area—are using the loan card.

A bank account that allows ATM use is increasingly becoming a preferred option with users. The tobacco farmers need only have a loan account with ICICI Bank to get ATM access.

In addition to the cash loan through the card, farmers can also receive crop loans to procure fertilisers, seeds, pesticides, and diesel, among other agricultural supplies.

Hegde adds, "The *Asan* ATMs give farmers access to money 24 hours a day through cash withdrawals as against withdrawing from the local brick-and-mortar setups, and reduce third-party involvement. Through *Asan*, we



The *Asan* ATMs give farmers 24-hour access to cash withdrawals, and reduce third party involvement

Brahmananda Hegde
Deputy General Manager,
ICICI Bank

can extend self-service banking to rural masses *sans* the huge operational costs, the benefit of which can be given to farmers in the forms of subsidised interest rates."

Why NCR?

Deepak Chandnani, managing director, NCR India, says, "NCR India spoke to various banks about their needs before beginning their India-specific projects. We carried out a survey of ATM users through the Industrial Design Centre of IIT-Mumbai. *Asan* is a result of the work done by the NCR R&D teams abroad and in India with IIT-Mumbai."

As a matter of fact, NCR was named the winner in the Self-Service category of The Banker Technology Awards 2004 (instituted by the UK-based finance publication *The Banker*) for its EasyPoint 57i machine, the one deployed in Andhra Pradesh as *Asan*.

Easy Does It!

Asan has a physical appearance and user interface designed to appeal to Indian consumers. A rugged machine, *Asan* provides convenience shelves—something we would like to see in our urban ATMs.

It supports wireless connectivity through GPRS and CDMA, suitable for areas with inadequate telecommunications. *Asan*'s enhanced dust filtration mechanism facilitates deployment in non-air-conditioned areas.

Moreover, *Asan*'s NCR Intelligent Power Management (NIPM) system, comes with an integrated UPS, which ensures the ATM completes an ongoing transaction before shutting down in case of a power failure.

Loan Dilemma No More

S Karthikeyan, manager, Agri business, ICICI Bank, has been associated with the Kisan Loan Card project since its inception, and has interacted with farmers on field. He says, "Earlier, land or other assets had to be mortgaged to procure loans through banks; however, to get the Kisan Loan Card, farmers don't have to make any mortgage payments at all.

"This eliminates mortgage-related documentation and saves time and effort for both

parties. While other banks charge a slab-wise interest rate, ICICI charges a flat rate of seven per cent simple interest per annum, irrespective of the amount of loan."

Karthikeyan continues, "Five acres of cultivated tobacco equals one barn. Under the Kisan Loan card scheme, the scale of finance is fixed at Rs one lakh per barn of tobacco owned by the farmer. So, even if a farmer has half a barn, he is assured of a loan of Rs 50,000."

In rural banks, loans are distributed at the discretion of the bank manager, and a specified amount must be withdrawn at one go. In contrast, with the Kisan Loan Card, farmers can withdraw the amount they need periodically through *Asan*.

Easy Get, Easy Repay

While disbursing of a loan is made easy through *Asan*, repaying it, too, has been made easier. Farmers repay the loan using the cash flow generated through the sale of cultivated tobacco.

Karthikeyan explains further, "Tobacco being a regulated crop, the final produce can be sold only by auction. For instance, the FCV (Flue Cured Virginia) variety can only be sold by the auctioneer—the Tobacco Board—through an open auction.

"Altogether, one crop of the NLS FCV variety is sold in eight instalments to various buyers including ITC Limited, Godfrey Philips, Transcontinental and other local traders who export most of the tobacco. They pay the Tobacco board, which pays ICICI, which in turn clears part of the debt and remits the remaining amount to the farmer," adds Karthikeyan.

Promise For The Future

This transparency in operation acts towards building trust and encourages other tobacco farmers to take advantage of the scheme. Whether farmers want to buy a new farm or bore a well—the low cost loans and easy availability of credit suits their needs perfectly.

By leveraging technology, this innovative banking solution of disbursing credit will, in all probability, eliminate any vestiges of the Shylock way of lending money in rural India. ☐

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The *Asan* ATM takes up less space than conventional ATMs, and also has convenience shelves